



CA INTER MAY 2026

AUDITING & ETHICS

CARO 2020

ONE SHOT



CHAPTER 13 : CARO 2020 & Co. Act

Powers conferred by **section 143(11)** of the Co. Act, 2013, CG issued **Companies (Auditor's Report) Order, 2020**

➤ Applicability:

Applicable to:	• Every company including a foreign company (as defined in Sec. 2(42) of the Co.Act, 2013) : Even to Dormant & Electricity companies also • Applicable in case of branches also																													
Not applicable to:	Insurance company Banking company Company U/s 8 of Co.Act2013 OPC & Small Company under Co.Act Private Company (Not being a subsidiary or holding company of a public company) Below all condition need to be fulfil: Small Company: 2(85) Of Co.Act 2013, other than a public co: (1) Paid Up S/c ≤ Rs. 4 Crores, AND (2) Turnover ≤ Rs. 40 Crores (Imm. preceding FY) (Further it should not be, Sec 8 Co, Holding or Subsidiary of any, Governed by any special act company) <table><tr><td>Paid-up capital & Reserves & Surplus</td><td>As on balance sheet date</td><td>≤ ₹ 1 crore</td></tr><tr><td>Total borrowings from any bank or financial institution</td><td>at any point of time during the FY</td><td>≤ ₹ 1 crore</td></tr><tr><td>Total revenue as disclosed in Schedule III (including revenue from discontinuing operations)</td><td>as per the financial statements</td><td>≤ ₹ 10 crore</td></tr></table> • If Company is small company, then CARO is not applicable even if it falls in Pvt. Co, Limits • CARO shall not apply to the auditor's report on consolidated FS except Para 3(xxi).			Paid-up capital & Reserves & Surplus	As on balance sheet date	≤ ₹ 1 crore	Total borrowings from any bank or financial institution	at any point of time during the FY	≤ ₹ 1 crore	Total revenue as disclosed in Schedule III (including revenue from discontinuing operations)	as per the financial statements	≤ ₹ 10 crore																		
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Inclusions & Exclusions	• Inclusions: i.e., For CARO applicability, following items are included to calculate limit: <table><tr><th>Paid Up Capital & Reserve</th><th>Borrowing</th><th>Revenue</th></tr><tr><td>Equity share capital</td><td>Loan from Bank, FI, NBFC</td><td rowspan="2">Disclosed in Schedule III comprises of: • Revenue from operations • Other Income. </td></tr><tr><td>Preference share capital</td><td>Loans may be in any form: • Term loan, Demand loans, • Cash credit overdraft, • Export credit, Bill purchased/discounted • Short term, long term • Secured, Unsecured • Credit card O/s </td></tr><tr><td>Amount originally paid up on forfeited shares</td><td rowspan="3">Other than finance company: - Sale of products - Sale of services - Other operating revenues </td></tr><tr><td>Calls in arrear (Deduct)</td></tr><tr><td>Capital reserves</td></tr><tr><td>Revenue reserves</td><td rowspan="2">Non-fund-based credit facilities converted into fund based credit facilities</td><td rowspan="4">Other income shall consist: - Interest Income - Dividend Income - Net gain/loss on sale of investments/Fixed Asset - Other non-operating income (net of expenses directly attributable to such income) </td></tr><tr><td>Security premium</td></tr><tr><td>Revaluation Reserves.</td><td rowspan="2">Interest accrued as well as due</td></tr><tr><td>P&L Credit Balance (added)</td></tr><tr><td>P&L Debit Balance (Reduce)</td></tr><tr><td>ESOP Reserves</td></tr></table> • Exclusions: i.e., For CARO applicability, following items are excluded to calculate limit: <table><tr><th>Paid Up Capital & Reserve</th><th>Borrowing</th><th>Revenue</th></tr><tr><td>Share application</td><td>Loan from individual</td><td>Advance received</td></tr></table>			Paid Up Capital & Reserve	Borrowing	Revenue	Equity share capital	Loan from Bank, FI, NBFC	Disclosed in Schedule III comprises of: • Revenue from operations • Other Income.	Preference share capital	Loans may be in any form: • Term loan, Demand loans, • Cash credit overdraft, • Export credit, Bill purchased/discounted • Short term, long term • Secured, Unsecured • Credit card O/s	Amount originally paid up on forfeited shares	Other than finance company: - Sale of products - Sale of services - Other operating revenues	Calls in arrear (Deduct)	Capital reserves	Revenue reserves	Non-fund-based credit facilities converted into fund based credit facilities	Other income shall consist: - Interest Income - Dividend Income - Net gain/loss on sale of investments/Fixed Asset - Other non-operating income (net of expenses directly attributable to such income)	Security premium	Revaluation Reserves.	Interest accrued as well as due	P&L Credit Balance (added)	P&L Debit Balance (Reduce)	ESOP Reserves	Paid Up Capital & Reserve	Borrowing	Revenue	Share application	Loan from individual	Advance received
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	Call in advance	Interest accrued but not due	Excise Duty/GST	
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Q1. Discuss which **class of companies** are specifically **exempt** from the applicability of CARO 2020? (MTP'24)

Hint: Refer Above "**Applicable to**" & "**Not Applicable to**"

Q2. G Pvt. Ltd. → fully paid up Capital and Reserves of ₹ 1.20 crore as at the end of F.Y. 2020-2021. During the F.Y. 2021-2022, the company incurred losses to the tune of ₹ 25 lacs. During the year, company borrowed ₹ 55 lakh each from a bank and a financial institution independently. It had a turnover of ₹ 850 lakh (other than revenue of ₹ 250 lakh from discontinuing operations). Ascertain whether CARO, 2020 applicability. (May 2022)

Answer:

Applicability of CARO, 2020 in case of Private Ltd. Company: CARO, 2020 shall apply to every company including a foreign company except- a private limited company, not being a subsidiary or holding company of a public company, (i) having a paid-up capital and reserves and surplus not more than one crore rupees as on the balance sheet date; and (ii) which does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year; and (iii) which does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

Applying the above to the given case, G Pvt. Ltd., its **paid-up capital and reserves are ₹ 95 Lakh** (₹ 120 Lakh - ₹ 25 Lakh), **borrowings from a Bank and financial institution are (₹ 55 Lakh + ₹ 55 Lakh) i.e., ₹ 1.10 Crore**, **turnover [including discontinuing operations (₹ 850 lakh + ₹ 250 Lakh)] ₹ 1100 Lakh i.e., ₹ 11 Crore**.

Since its **borrowings and turnover are exceeding the specified limit** and therefore it is not exempt from the applicability of CARO, 2020

Q3. Examine the **applicability of CARO, 2020** in the below mentioned cases:

(a) **Educating child** is a limited company **registered under section 8** of the companies Act, 2013

(b) **ASHU PVT. LTD.** having paid up capital and reserves of ₹ 50 lakhs. During the year, the company had **borrowed ₹70Lakhs each from a bank and financial institution independently**. Turnover for the year was Rs. 900 lakhs. [OLD]

Hint:

- Explain CARO "**Applicable to**" & "**Not-Applicable to**" as explained in above notes
- Conclusion: **Not applicable** in case of Educating Child as it is **registered under section 8**
- In case of **Ashu Pvt. Ltd.** CARO 2020 is **applicable** as **borrowing in aggregate exceeds ₹1 crore**

Q4. CARO Applicability For **ABC Pvt Ltd**, which is **subsidiary of XYZ Ltd.** (a public company). Surplus of Rs. 50 lakhs, Bank loan 90 lacs, Turnover of Rs. 5 Crore.

Hint: Explain "Not applicable to" → It's **not Exempt** → because it's Subsidiary of Public company

➤ **Matters to be included in Auditor's Report**

Para 3(i)]		Property, Plant and Equipment (Link AS 10/Ind As 16)
Adequacy of Records		• Whether the company is maintaining proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment • Whether the company is maintaining proper records showing full particulars of intangible assets;
		• Whether these Property, Plant and Equipment have been physically verified by the management at reasonable intervals; • whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt in the books of account; [Note: Reasonable interval depends upon the <i>circumstances of each case</i> i.e. Value of asset, Geographical location etc., While an annual verification may be reasonable, it may be impracticable to carry out the same in some cases. Even in such cases, the verification programme should be such that all assets are verified at least once in every 3 years.]



Title Deed	- Whether the title deeds of all the immovable properties (other than properties where the <u>company is the lessee</u> and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company, if not, provide the details thereof in the format below:- <table><tr><td>Description of property</td><td>Gross carrying value</td><td>Held in name of</td><td>Whether promoter, director or their relative or employee</td><td>Period held - indicate range, where appropriate</td><td>*Reason for not being held in name of company</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td></tr></table> * Also indicate if in dispute	Description of property	Gross carrying value	Held in name of	Whether promoter, director or their relative or employee	Period held - indicate range, where appropriate	*Reason for not being held in name of company						
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Revaluation 10%	- whether the company has revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year and, - if so, whether the revaluation is based on the valuation by a Registered Valuer; specify the amount of change, if change is 10% or more in the aggregate of the net carrying value of <u>each class</u> of Property, Plant and Equipment or intangible assets;												
Benami	- whether any proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder, - if so, whether the company has appropriately disclosed the details in its FS												

Q5. Explain reporting requirement under CARO 2020 for PPE & intangible assets

[OLD RTP]

Hint Explain Para 3(i) of CARO 2020

Q6. **Correct/Incorrect:** According to Para 3(1)(d) of CARO, 2020, an auditor needs to report whether the company has revalued its PPE (including Right of Use assets) or intangible assets or both during the year and, if so, whether the revaluation is based on the valuation by a Registered Valuer; specify the amount of change, **if change is 5% or more** in the aggregate of the net carrying value of each class of PPE or intangible assets. :
INCORRECT ... it's 10% .. not 5%

Para 3(ii)]	Inventories (Link AS 2/Ind As 2)
Physical verification	- whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate; - whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account;
Working capital limit (Excess of Rs. 5 crore)	Whether during any point of time of the year, the company has been sanctioned working capital limits in excess of 5 crore rupees , in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details;

Reasonable Interval

[Note: What constitutes "reasonable intervals" *depends on circumstances* of each case. The periodicity of the physical verification of inventories depends upon the *nature of inventories, their location and the feasibility* of conducting a physical verification, Normally, wherever practicable, all the items of inventories should be verified by the management of the company **at least once in a year**]

Q7. What are the reporting requirements regarding physical verification of inventory under CARO 2020? [MTP May'25]

Eg. ICAI SM: The company has **dispensed with the practice of taking inventory** of their inventories at the year-end as in their opinion the exercise is redundant, **time consuming**. Explain CARO 2020 Reporting.

Hint: Mention above Clause (2) (Both: Physical verification & Working capital limit)

In given case, the above requirement of physical verification of inventory by the mngt has not been taken place and therefore auditor should point out in CARO, 2020. He may consider the impact on FS and report accordingly.

Q8. Mngt Implemented New ERP system → so they stopped conducting Physical verification as ERP itself accurate (CARO 2020) [Jan'26]

Hint: refer above C-2 → "Physical Verification" + Explain Given case:

However, the existence of an ERP system does not replace the requirement of physical verification

Therefore, auditor to report in Clause 3(ii)(a) of CARO, 2020,

Para 3(iii)	Investments, Guarantee/Security, Loans or Advances Given (Link S-III, SA550)
Whether during the year the company has <u>made investments in, provided any guarantee or security or granted any loans or advances</u> in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties, if so,	
Loan, Advance, Guarantee & Security - To Group - Non- Group	Whether during the year the <u>company has provided loans or provided advances</u> in the nature of loans, or stood <u>guarantee</u>, or provided security to any other entity [not applicable to companies whose principal business is to give loans], if so, indicate- (A) The aggregate "amount during the year", and "balance outstanding" <u>at the balance sheet date</u> with respect to such loans or advances and guarantees or security to subsidiaries, joint ventures and associates; (B) The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans or advances and guarantees or security to parties other than subsidiaries, joint ventures and associates;
Terms prejudicial	whether the <u>investments made, guarantees</u> provided, security given and the terms and conditions of the grant of all <u>loans and advances</u> in the nature of loans and guarantees provided are not prejudicial to the company's interest ;
Loan given Schedule	in respect of loans and advances in the nature of loans, whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments or receipts are regular
Overdue >90 days	if the amount is overdue, state the total amount overdue for more than 90 days , and whether reasonable steps have been taken by the company for recovery of the principal and interest
New Loan to repay old loan	Whether any loan or advance in the nature of loan granted which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties, If So. Aggregate amount of such dues renewed or extended or settled by fresh loans Percentage of the aggregate to the total loans or advances in the nature of loans granted during the year [Not applicable to companies whose principal business is to give loans]

Loan repayable on demand

- Whether the company has **granted any loans** or advances in the nature of loans either **repayable on demand** or **without specifying any terms** or period of repayment,

If So, Specify

Aggregate amount

Percentage thereof to the total loans granted

aggregate of such amount of loans granted to Promoters, related parties

Q1. M Ltd has **given certain loans to related parties** and also has **accepted certain deposits**. CARO, 2020? (Nov 19)

Hint: Explain Above **Whole clause (iii) & clause (v)**

Para 3(iv)	Compliance of provisions of Secs. 185 & 186 (Link S-III, SA 550)
In respect of loans given, investments made, guarantees, and security whether provisions of Sections 185 and 186 of the Companies Act, 2013 have been complied with . If not, provide details thereof.	

Para 3(v)	Public Deposits Accepted
Comply RBI, Sec 73 & 74	i.r.o. deposits accepted by the company or amounts which are deemed to be deposits, whether the directives issued by the RBI and the provisions of sections 73 to 76 or any other relevant provisions of the Companies Act and the rules framed thereunder, where applicable, have been complied with. <i>If not, the nature of such contraventions be stated;</i>
Order by Court	If an order has been passed by Company Law Board or NCLT or RBI or any Court or any other Tribunal , whether the same has been complied with or not?

Q2. Explain **CARO** reporting for **Deposits accepted** by company or amounts which are deemed deposits (MTP'22)

Hint: Explain Clause 5(a) Comply RBI, Sec 73 & 74

Para 3(vi)	Cost Records
Whether maintenance of cost records has been specified by the CG u/s 148(1) of the Companies Act, 2013 and whether such accounts and records have been so made and maintained .	
Author's Note: - Auditor need to do only GENERAL REVIEW, that whether cost record is maintained or Not (Detailed examination of those cost record is not require) - This clause is applicable even if COST AUDIT is not applicable	

Para 3(vii)	Statutory Dues (Link SA-250, Ind As 37, AS 29, Sec 143(3)(j))
Undisputed statutory dues	Whether the company is regular in depositing undisputed statutory dues including GST, PF, ESI, income-tax, sales-tax , service tax, duty of customs, duty of excise, VAT, cess and any other statutory dues to the appropriate authorities and <i>If not, the extent of the arrears of outstanding statutory dues as at the last day of the FY concerned for a period of more than 6 months from the date they became payable, shall be indicated</i>
Disputed	Where statutory dues referred above have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned. (A mere representation to the concerned Department shall not be treated as a dispute).
Note: - Non-payment of advance income tax would constitute default in payment of statutory dues "Disputed": where there is a positive evidence or action on the part of the company to show that it has not accepted the demand for payment of tax or duty, e.g., where it has gone into appeal.	

Q3. CARO 2020: Disputed and undisputed statutory dues (MTP 2023 & RTP Sept'24)

Hint: Refer above clause 7, "Undisputed Statutory Dues"

Q4. CARO 2020: O/s GST of 10 lacs since June'23 → management has only filed an Objection letter to GST dept. However, no response is received from the GST Department. (Sept'24)

Hint: explain above Clause 7(a) & (b) → mere representation is not Dispute → so reporting is not required in C-7(b), However required in C-7(a) as Undisputed.

Para 3(viii)	Unrecorded Income: (Link SA 240)
	- Whether any transactions not recorded in the books of account have been surrendered or disclosed as income during the year in the tax assessments under the Income-tax Act, 1961, - If so, whether the previously unrecorded income has been properly recorded in the books of account during the year;

Para 3(ix)	Repayment of Dues (Link SA 570, Clause 3/4)					
Defaulted	a) Whether the company has defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender, if yes, the period and amount of default to be reported as per the format below:					
	Nature of borrowing, including debt securities	Name of lender*	Amount not paid on due date	Whether principal or interest	No. of days delay or unpaid	Remarks, if any
	*Lender wise details					
	<u>NOTE: Submission of application for re-schedulement/restructuring does not mean that no default has occurred</u>					
Wilful defaulter	b) Whether the company is a declared wilful defaulter by any bank or financial institution or other lender					
Fund Diverted	c)Whether term loans were applied for the purpose for which the loans were obtained; if not, the amount of loan so diverted and the purpose for which it is used may be reported					
Short to long term	d)whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated;					
Fund for Sub/JV	e) Whether the company has taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures, if so, details thereof with nature of such transactions and the amount in each case;					
Pledge Securities of Sub/JV	f) Whether the company has raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies, if so, give details thereof and also report if the company has defaulted in repayment of such loans raised					

Q5. CARO, 2020 IS applicable. He finds that cash credit facilities amounting to Rs. 4 crores were released to the company by branch of a bank for meeting its working capital requirements. He finds that out of above funds, Rs. 1 crore have been used by company for installing effluent treatment plant to meet State pollution control Board requirements. Is CARO, 2020 reporting applicable? (CA Inter SM)

Answer:

Clause (ix) (d) of CARO, 2020 whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated.

In the given situation, funds have been raised for meeting working capital requirements for Rs. 4 crores. Cash credit facilities for meeting working capital requirements are, by their very nature, short term borrowings. Out of above, Rs. 1 crore have been used by the company for investment in effluent treatment plant which is ostensibly for a long-term purpose.

Hence, the matter needs to be reported in accordance with requirements of Clause (ix) (d) of CARO, 2020.

Q6. "Default in repayment of Loan" Explain CARO reporting [MTP 2022]

Hint: Explain clause (ix) of Para 3 of CARO, 2020

Para 3(x)	Money raised by public issue and preferential Allotment (Link Clause 3/4/9)
Application of Money raised by public issue	a) Whether moneys raised by way of <i>initial public offer or further public offer (including debt instruments)</i> during the year were applied for the purposes for which those are raised, if not, the details together with delays or default and subsequent rectification, if any, as may be applicable, be reported
Preferential allotment	b) Whether the company has made any <i>preferential allotment or private placement of shares or convertible debentures</i> (fully, partially or optionally convertible) during the year and if so, whether the requirements of section 42 and section 62 of the Companies Act, 2013 have been complied with and the funds raised have been used for the purposes for which the funds were raised, if not, provide details in respect of amount involved and nature of non-compliance

Q7. Discuss CARO 2020 reporting, w.r.t moneys raised by company by way of *initial public offer or further public offer*

Hint: Refer above clause 10

Q8. TS Ltd. has raised funds by *issuing fully convertible debentures*. These funds were raised *for expansion and diversification of the business*. However, the company *utilised these funds for repayment of long-term loans and advances*. What are the reporting requirements under CARO 2020 in this case? (Nov22 & May25)

Hint: - Explain clause (x);

- Explain present case: i.e., In present case, utilized for other than the purpose for which the funds were raised.
- Conclusion: auditor should report fact that the funds were used for the purpose other than the purpose for which the funds were raised, as per clause (x)(b) of Para 3 of CARO, 2020.

Para 3(xi)	Fraud by or on Company: (Link SA240)
a)	Whether any fraud by the company or any fraud on the Company has been noticed or reported during the year; If yes, the nature and the amount involved is to be indicated.
b)	whether any report u/s 143(12) of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government;
c)	whether the auditor has considered whistle-blower complaints , if any, received during the year by the company;
NOTES: - Inquiry under this clause is restricted to frauds 'noticed or reported' during the year. - auditor is also required to comply with the requirements of SA 240 also along with this clause - Only noticed frauds shall be included here and not the suspected frauds - While reporting, auditor may also consider the principles of materiality outlined in Standards on Auditing	

Q9. to report under *clause (XI)* of CARO, 2020 is *restricted to frauds noticed or reported* in year. Explain ? (MTP 21)

Hint: Refer above Clause 11

Q10. **CA Final Hint Qn (Full Covered in Additional PDF)** → Jewelry Company does not properly disclose the *purity of gold used on the jewellery*, Defrauding customer, Is any CARO Reporting require **(CA Final)**

Hint: → Explain *Para 3 clause (xi) of CARO, 2020 (as explained in above notes)*

- As per SA 240 → as long as books of account are not falsified → no implication for the auditor.
- CARO, 2020, there is no implication for misstatement in the FS. Hence, no reporting is necessary



Para 3(xii)	Nidhi Companies:
1:20	Whether the Nidhi Company has complied with the Net Owned Fund to Deposits in the ratio of 1: 20 to meet out the liability;
10%	Whether the Nidhi Company is maintaining 10% unencumbered term deposits as specified in the Nidhi Rules, 2014 to meet out the liability
Any Default	whether there has been any default in payment of interest on deposits or repayment thereof for any period and if so, the details thereof;

POINT TO NOTE:

- 1) **Net Owned Funds** = paid-up **equity S/C** + **free reserves (-) reduced by accumulated losses (-) intangible assets** appearing in the last audited balance sheet
- 2) **Deposit:** Can accept **fixed deposits, recurring deposits** and **savings deposits** from its members. (deposit liability)

Q11. CARO 2020: NIDHI COMPANY reporting requirement (Qn Paper May'24)

Hint: Refer above clause 12

Para 3(xiii)	Transactions with related Parties: (Link SA550, AS 18, Ind As 24)
Sec 177 & 188	Whether all transactions with the related parties are in compliance with Secs. 177 and 188 of Companies Act, 2013 where applicable
Disclosure	the details have been disclosed in the F.S etc. as required by the applicable accounting standards.

Note: Auditor can refer SA 550, "Related Parties" which has prescribed **auditor's responsibilities** regarding related party relationships and transactions when performing an audit of financial statements, including guidance on the procedures to be performed by auditors

Q12. CARO 2020 Reporting: Transactions with related parties (RTP Nov 2023 & RTP Sept'24)

Hint: Refer above Clause 13

Para 3(xiv)	Internal Audit System:
• Whether company has an internal audit system commensurate with the size and nature of its business • Whether reports of the Internal Auditors for the period under audit were considered by statutory auditor.	

Q13. DOX Ltd, a providing courier services & it's profitable, appointed an internal auditor (requirements of the Companies Act) during FY 2023-24. Annual turnover during FY 2022-23 and 2023-24 has been about Rs.300 crores during each of above years. Discuss reporting responsibility of statutory auditor of the company under the Companies Act, 2013 specifically i.r.t internal audit & related matters for FY 2023-24.

Hint: Explain Exemption List of CARO i.e., "**Not Applicable to" i.e., IB COPS** (Not require to Mention numerical limits of Pvt / Small Company) → it does **not qualify for any exemption** from applicability of CARO, 2020.

So Reporting under Clause 14 is require (Mention above Clause 14 of CARO)

Para 3(xv)	Non-cash transactions with directors
• Whether the company has entered into any non-cash transactions with directors or persons connected with directors and • if so, whether provisions of Section 192 of Companies Act, 2013 have been complied with	

Q14. Mr. T, the director of A Ltd., has purchased an old car belonging to the company against cooling equipment belonging to the director, which is given to the company as consideration for the car. CARO report ?.

Hint: It's required to be reported: **NON-CASH TRANSACTION** with directors (Clause XV)

Para 3(xvi)**Registration with RBI:**

- (a) Whether the company is required to be registered u/s 45-IA of the Reserve Bank of India Act, 1934 and if so, whether the registration has been obtained.
- (b) Whether the company has conducted any Non-Banking Financial or Housing Finance activities without a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank India Act, 1934;
- (c) Whether the company is a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India, if so, whether it continues to fulfil the criteria of a CIC, and in case the company is an exempted or unregistered CIC, whether it continues to fulfil such criteria;
- (d) Whether the Group has more than one CIC as part of the Group, if yes, indicate the number of CICs which are part of the Group;

Para 3(xvii)**Cash Losses:**

- Whether the company has incurred cash losses in the financial year and in the immediately preceding F.Y.,
- if so, state the amount of cash losses;

Para 3(xviii)**Resignation of statutory auditor [Link ADT-3 Sec 140(2)]**

- Whether there has been any resignation of the statutory auditors during the year,
- if so, whether the auditor has taken into consideration the issues, objections or concerns raised by the outgoing auditors

Para 3(xix)**Material uncertainty - company ability to meet its liabilities (Link SA 570)**

On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, the auditor's knowledge of the Board of Directors and management plans, whether the auditor is of the opinion that NO material uncertainty exists as on the date of the audit report that company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.

Para 3(xx)**Transfer of unspent CSR amount:**

- a) Whether, in respect of other than ongoing projects, the company has transferred unspent amount to a Fund specified in Schedule VII to the Companies Act, within a period of 6 months of the expiry of the financial year in compliance with 2nd proviso to Sec. 135(5) of the said Act;
- b) Whether any amount remaining unspent u/s 135(5) of the Companies Act, pursuant to any ongoing project, has been transferred to special account in compliance with the provision of Sec. 135(6) of the said Act.

Illustration for easy explanation of above clause: 2% of Avg profit comes out to ₹100 lacs, out of which amount already spent is Rs. 20 lacs, So out of remaining UnSpent amount of Rs.80 lacs

✓ For Ongoing project (i.e. Multi Year), Assume its Rs.60 lacs:

- Transfer within 30 days from end of FY to special a/c "Unspent CSR A/c"
- To be spend within 3 years
- If not transfer within 30 days from end of 3 yrs to Fund in S-VII

✓ Other than Ongoing project Assume its Rs.20 lacs:

Transfer within 6 months from end of FY to fund in S-VII

Para 3(xxi)**Qualifications or adverse remarks in CARO Reports of group companies:**

- a) Whether there have been any qualifications or adverse remarks by the respective auditors in the CARO reports of the companies included in the consolidated financial statements,
- b) If yes, indicate the details of the companies and the paragraph

➤ **Reasons to be stated for unfavourable or qualified answers:**

Where, in the auditor's report, the answer to any of the questions referred to in paragraph 3 is:

a) Unfavourable or Qualified	The auditor's report shall also state the basis for such unfavourable or qualified answer, as the case may be
b) Unable to express any opinion	His report shall indicate such fact together with the reasons as to why it is not possible for him to give his opinion on the same.

➤ Companies Act (Sec 143) - Duties of Auditor

Duty of Auditor to Inquire on Propriety matters: 143(1)

Note: The auditor is **NOT required** to report on below matters, **unless he has any special comments (Adverse)** to make on any of the items referred to therein.

a)	Loans & Advance	Whether loans and advances made by the company on the basis of security have been properly secured and Whether the terms on which they have been made are prejudicial to the interests of the company or its members;
b)	Books Entries	Whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company
c)	Cost > Sales	Where the company not being an investment company or a banking company , Assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company
d)	Deposit	Whether loans & advances made by company have been shown as deposits
e)	Expense	Whether personal expenses have been charged to revenue a/c
f)	Shares for Cash	- Where it is stated in the books and documents of the company that any shares have been allotted for cash, Whether Cash has actually been received in respect of such allotment, & if no cash has actually been so received, whether the position as stated in the BOA and the balance sheet is correct, regular and not misleading.

143(2)

- Auditor shall **make a report to the members** of the company on the accounts examined by him/FS
- Auditor has to **report whether to best of his information and knowledge**, the said accounts, financial statements give a **true and fair view** of the state of the company's **affairs** as at the end of its financial year **and P&L and cash flow** for the year and such other matters as prescribed under **Rule 11** of the Companies (Audit and Auditors) Rules, 2014.

143(3) Reporting

NOTE: 143(3) reporting is **required even if there is no adverse remark** on below matters

a)	Obtained all Information	Whether he has sought and obtained all the information and explanations which to the best of his knowledge and belief were necessary for the purpose of his audit
b)	Books of account	- Whether, in his opinion, proper BOA as required by law have been kept by the company Examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him
c)	Branch Report	Whether the Branch office audit report of the company sent to him & manner he dealt with that report while preparing own report
d)	B/S P&L agrees BOA	Whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account and returns



e)	A.S	Whether, in his opinion, the FS comply with the accounting standards ;
f)	Comment on Financial transactions	the observations or comments of the auditors on financial transactions or matters which have any adverse effect on the functioning of the company
g)	Director disqualified	Whether any director is disqualified from being appointed as a director under u/s 164(2).
h)	Qualification	Any qualification , reservation or adverse remark relating to the maintenance of accounts and other matters connected therewith
i)	Internal financial controls	Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls; This clause is NOT APPLICABLE to: Private company which is (i) OPC or Small company ,Or, (ii) Which has turnover less than Rs. 50 crores as per latest audited financial statement AND has aggregate borrowings from banks or FI or any body corporate at any point of time in the FY less than ₹ 25 crore.
j) Any Other Matter (Rule 11) (Also applicable for Banking company auditor's report) Link Point 1 with: SA 250 & CARO C-7		
Any such other matters as may be prescribed. Rule 11: The auditor's report shall also include their views and comments on the following matters, namely:- - Whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement - whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses (Including Derivative contract) - whether there has been any delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company - Whether the management has represented that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds), Not even through intermediaries with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; - Whether the management has represented, that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; - Based on such audit procedures that the auditor has considered reasonable and		



appropriate in the circumstances, **nothing has come to their notice** that has caused them to believe that the **representations under sub-clause (i) and (ii)** contain any **material mis-statement**

5) Whether the **dividend declared or paid** during the year by the company is in **compliance with section 123** of the Companies Act, 2013.

6) AUDIT TRAIL

- Whether the company (i.r.o. FY 2022-23 & onwards) has used such **accounting software for maintaining its BOA** which has a **feature of recording audit trail** (edit log) facility &
- the **same has been operated throughout the year** for all transactions recorded in the software and the
- audit trail feature has not been tampered with and the **audit trail has been preserved** by the company **as per the statutory requirements for record retention**

Audit Trail means, a step-by-step sequential record which provides evidence of the documented history of financial transactions to its source. An auditor can trace every step of, the financial data of a particular transaction right from the general ledger to its source document with the help of the audit trail

➤ Section 197(16) of the Companies Act, 2013:

[Reporting requirement for auditors of **public companies** needs to be covered in auditor's report under the Section "**Report on Other Legal and Regulatory Requirements**"]

Whether excess remuneration paid to director?

"The auditor of the company shall, in his report under section 143, make a statement as to:

- Whether the **remuneration paid** by the company to its directors is in **accordance** with the provisions of this section,
- **whether** remuneration paid to any director is in **excess** of the limit laid down under this section and **give such other details** as may be prescribed

143(4) : Reason for qualification

Where any of the matters required to be included in the audit report is answered in the negative or with a qualification:

- The report shall state the reasons there for

143(8):

SEPRATELY DISCUSSED : "Branch Audit"

143(9)/(10) : Auditing Standards

- 143(9): Every auditor shall comply with the **auditing standards**
- 143(10): **CG may prescribe the standards of auditing, as recommended by the ICAI, in consultation with** and after examination of the recommendations made by the **NFRA**

143(11): CARO

CG after consultation with NFRA may direct that auditor's report shall include a statement on such matters as specified in order issued by it. (CARO, 2020)

145: Duty to Sign Audit Report:

Person appointed as an auditor of the company shall sign the auditor's report or sign or certify any other document of the company as per provisions of Sec 141 (2) & qualifications, observations or comments on financial transactions or matters, which have any adverse effect on the functioning of the company mentioned in the auditors' report shall be read before the company in general meeting and shall be open to inspection by any member of the company.

143(12)

LATER ON SEPRATELY DISCUSSED : "Fraud Reporting"

Q15. Auditor is not required to report on matters specified in Sec 143(1) unless he has any special comments.

Explain **clearly stating the matters** for which the auditor has to **perform his duty of inquiry**. (MTP'24)

Hint: refer above "**Sec 143(1)**", **all the enquiry points**

Q16. auditor wanted to refer to Minute Books/ secretarial records. The BOD refused. [Old → Full in PDF]



Hint: → Section 143 (1) grants powers to the auditor that every auditor has a right of access, the BOA

- Further → also entitled to require from the officers of the company such information
- It constitute limitation of scope on duties of auditor
- Hence: auditor may examine whether by performing alternative procedures, or else qualify or disclaimer

Q17. Auditor's reporting on internal financial control will be applicable with respect to interim FS. Discuss (Old)

Hint: Sec 143(3), clause 1, → whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Reporting on IFC apply only in case of reporting on FS prepared under the Act and reported under Sec 143
- So, IFC reporting not applicable for Interim FS, unless such reporting required under any other L&R

Q18. Under provisions of Section 143(2), the auditor shall make a report to the members of the company on the accounts examined by him. Explain along with relevant rule of The Companies (Audit & Auditors) Rules, 2014 (Old)

Hint: Refer above "Sec 143(2)" & "Rule 11" [as mentioned in Sec 143(3)]

Q19. Auditor want to make sure that → software used by company for maintenance of its books of accounts is capable of tracking user activities and changes made to entries, what is requirement as per Co.Act 2013. (Old)

Hint: Refer "Audit trail" [6th Point of Rule 11 in Sec 143(3)]

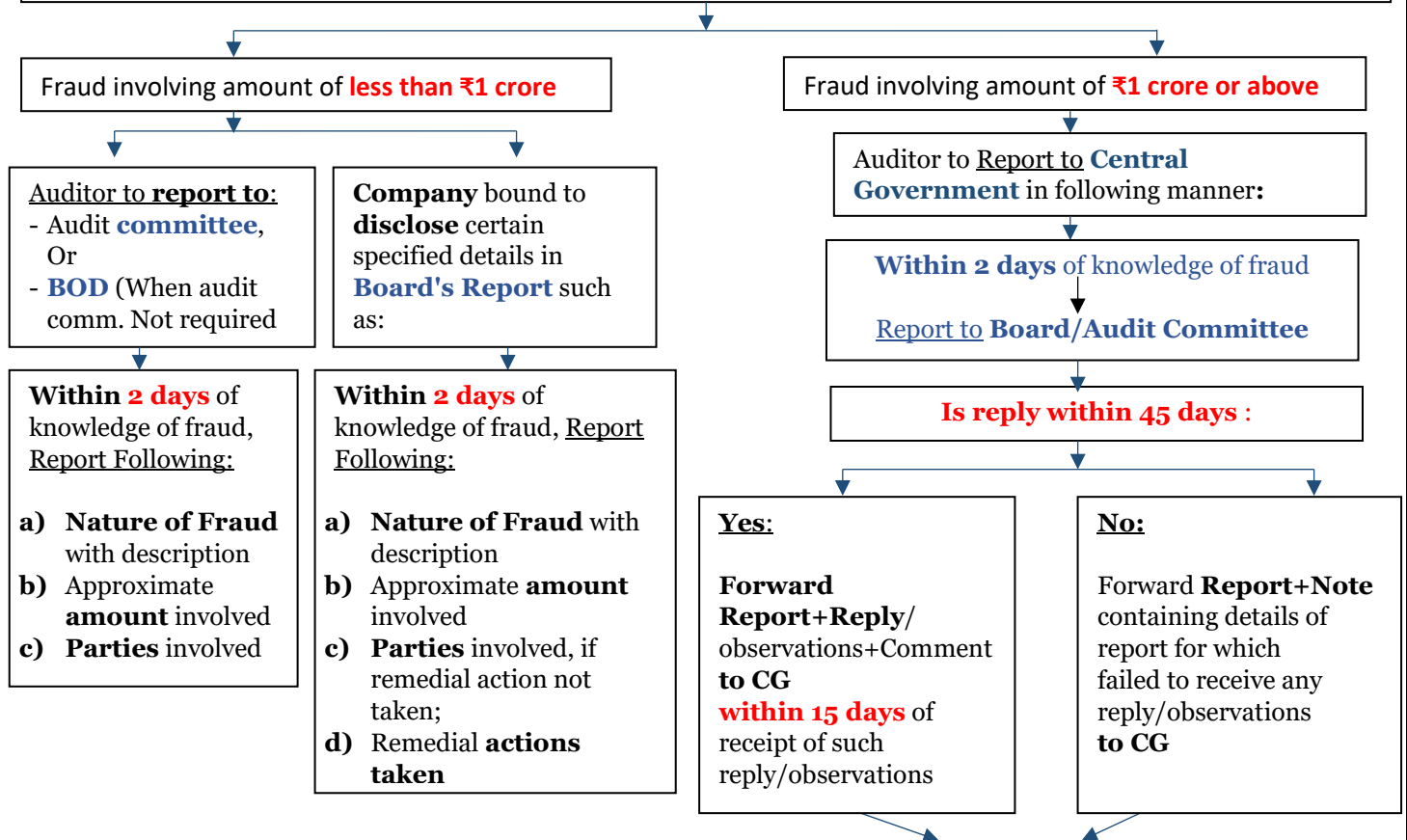
Q20. Statutory auditor of Head office want to verify Inventory books of Branch, But mngrt refused by saying that it was already audited by branch auditor. (Old)

Hint: Sec 143 (1) → Auditor have right to access all times BOA & vouchers (whether Kept at Reg. office or other place), and also entitled from officers to obtain information & explanation he may consider necessary.

- So right also access to branch records
- Explain given case (same as question language)
- So Yes, head office auditor can access the branch record

Duty of Fraud Reporting [Section 143(12) of Companies Act, 2013 & Rule 13 of CAAR, 2014]

If an auditor of a company in the course of the performance of his duties as auditor, has reason to believe that an **offence of fraud** involving such amount or amounts as may be prescribed, is being or **has been committed** in the company **by its officers or employees**:



NOTE:

- Report shall be **sent to Secretary of MCA**, in a **sealed cover** by Registered Post with Acknowledgement Due or by Speed Post followed by an e-mail in confirmation of the same
- the report shall be on the **letter-head of the auditor** containing postal address, e-mail address and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number
- Report shall be in **ADT-4** format

- Provisions of fraud reporting shall **also apply**, mutatis mutandis, to a **cost auditor** & a **secretarial auditor**
- If any auditor, cost accountant or company secretary in practice does **not comply with the above provisions**, **Penalty** will levy on them:

✓ **Rs.5 lacs** : In case of **Listed company**

✓ **Rs.1 lacs** : In case of **Other company**

The auditor is also required to **report under clause (x) of CARO, 2020** → whether any fraud **by company or** any fraud **on the Company** has been noticed or reported during the year. **If yes**, the **nature** and the **amount** involved is to be indicated.

Requirement of **SA 240** also needs to be fulfilled by auditor

Q21. The head accountant of a company entered fake invoices of credit purchases in the Books aggregate of **INR 50 lakh** and cleared all the payments to such bogus creditor. Discuss **duties of auditor & Board disclosure** ? (Old)

Hint: Explain **CARO 2020** → **Clause 11**

- Refer **Sec 143 (12)** Fraud Reporting to audit Committee/Board → **Fraud < Rs. 1 crore** → within 2 days etc. etc.
- Refer Both in **Sec 143 (12)** → **"Auditor Reporting"** & **"Board report disclosure"** (nature of fraud, amt, party)

Q22. CA. G, Statutory Auditor observed that certain **loans and advances were made without proper securities**; certain **trade receivables and trade payables were adjusted** inter se; and **personal expenses were charged to revenue**. As a company auditor comment on the, reporting responsibilities of CA. G. [CA FINAL → Full in PDF]

Hint:

- **Clause (a) of Section 143(1)** requires the auditor to inquire: **"Whether loans and advances"**
- **Clause (b) of Section 143(1)** **trade receivables and trade payables are adjusted** → mere **book entries**.
- Regarding **Personal Expenses**, **Clause (e) of section 143(1)**.

Q23. **Director** of T Ltd. draws an advance of **US\$ 200 per day** in connection with the **foreign trip** for business. **entire advance was expended without any supporting or evidence**. T Ltd. books the **expenses** [CA FINAL]

Hint

SA 500 "Audit Evidence" states that an auditor should obtain **SAAE** to be able to draw reasonable conclusions **Section 143(1)(e) the Co. Act 13** requires an auditor to enquire **whether personal expenses have been charged to revenue account...** if the payment is reimbursement should be against actual expenditure. The **director concerned** should provide **proof of expenditure**. Since the director has given only a declaration, the **auditor should ascertain** other relevant facts as to whether the advance paid is pursuant to the policy of the company.

Q24. company be said to have **'Not maintained' proper books**, What is the role of the statutory ? [CA FINAL]

Hint: **Section 143(3)(b)**, the auditor's report shall also state whether, in his opinion, **proper books of**
If answer is in **negative** or with qualification, the report shall **state the reasons** there for.



THANK YOU